NovaTech Solutions Inc.

Ticker: NVTS | NYSE | Q3 Fiscal Year 2024

Third Quarter Earnings Report

For the Three Months Ended September 30, 2024 | Released: October 28, 2024

1. Executive Summary

NovaTech Solutions Inc. delivered a strong third quarter, driven by robust demand across its Enterprise Solutions and Cloud Services segments. The company achieved record quarterly revenue of $4.20 billion, representing 14.9% year-over-year growth, while expanding operating margins and generating healthy free cash flow. NovaTech continued to execute on its long-term technology platform strategy, accelerating AI-powered product integrations and deepening enterprise customer relationships.

Quarter Highlights

- Record quarterly revenue of $4.20 billion, up 14.9% year-over-year
- Net income of $520 million; GAAP EPS of $2.15, up $0.24 vs. Q3 2023
- Operating margin expanded 130 basis points year-over-year to 18.5%
- Free cash flow of $380 million; trailing twelve-month FCF of $1.44 billion
- Annual Recurring Revenue (ARR) reached $11.24 billion, up 19.2% YoY
- Net Revenue Retention (NRR) of 112%, reflecting strong upsell and cross-sell momentum
- Enterprise customer base grew to 48,500 customers, up 11.2% from Q3 2023
- Board authorized an additional $500 million share repurchase program
- Completed acquisition of DataStream Analytics for $215 million in cash

CEO Statement

> *"Q3 2024 represents another quarter of disciplined execution against our strategic roadmap. Our Cloud Services segment delivered exceptional 22% growth as enterprises continue migrating mission-critical workloads to our platform. We are investing aggressively in AI-native capabilities while maintaining strong unit economics and expanding margins. With a robust pipeline heading into Q4 and increasing customer lifetime values across all segments, we remain confident in our ability to deliver durable, profitable growth for our shareholders."*

— Jonathan R. Caldwell, President & Chief Executive Officer, NovaTech Solutions Inc.

2. Financial Highlights

All figures in USD millions unless otherwise stated. Unaudited.

$4,200M	$520M	$2.15	18.5%	$380M
Revenue	Net Income	EPS (Diluted)	Op. Margin	Free Cash Flow
▲ 14.9% YoY	▲ 14.3% YoY	▲ $0.24 YoY	▲ 130 bps YoY	▲ 8.6% YoY

Consolidated Income Statement Summary

($ in Millions)	Q3 2024	Q2 2024	Q3 2023
Total Revenue	$4,200.0	$4,052.0	$3,655.4
Cost of Revenue	$1,575.0	$1,523.7	$1,388.1
Gross Profit	**$2,625.0**	**$2,528.3**	**$2,267.3**
Gross Margin	62.5%	62.4%	62.0%
R&D Expense	$630.0	$607.8	$548.3
Sales & Marketing	$756.0	$729.4	$657.9
General & Administrative	$462.0	$445.7	$402.1
Operating Income (EBIT)	**$777.0**	**$745.4**	**$659.0**
Operating Margin	18.5%	18.4%	18.0%
Interest & Other Income (Expense)	($74.8)	($77.2)	($68.5)
Pre-Tax Income	$702.2	$668.2	$590.5
Income Tax Expense (21%)	$147.5	$140.3	$124.0
Net Income	**$520.0**	**$495.8**	**$454.9**
Diluted EPS	**$2.15**	**$2.05**	**$1.88**
Diluted Shares Outstanding (M)	241.9	241.8	241.9

3. Revenue Breakdown by Segment

NovaTech reports revenue across four business segments. Enterprise Solutions and Cloud Services drove double-digit growth, reflecting continued enterprise digital transformation demand. Consumer Products grew modestly amid a cautious spending environment, while Professional Services delivered steady fee-based revenue expansion.

Segment	Q3 2024 ($M)	Q2 2024 ($M)	Q3 2023 ($M)	QoQ %	YoY %
Enterprise Solutions	$1,800.0	$1,730.0	$1,525.4	+4.0%	+18.0%
Cloud Services	$1,200.0	$1,155.0	$983.6	+3.9%	+22.0%
Consumer Products	$720.0	$695.0	$699.0	+3.6%	+3.0%
Professional Services	$480.0	$472.0	$444.4	+1.7%	+8.0%
Total Revenue	**$4,200.0**	**$4,052.0**	**$3,652.4**	**+3.7%**	**+14.9%**

Segment Commentary

Enterprise Solutions ($1.80B, +18.0% YoY): Enterprise Solutions benefited from large multi-year contract renewals and new logos in the financial services, healthcare, and manufacturing verticals. Average contract value increased 9.4% year-over-year to $148,000. The segment added 1,240 net new enterprise customers in Q3.

Cloud Services ($1.20B, +22.0% YoY): Cloud Services remained the fastest-growing segment, driven by increased consumption of NovaTech's NovaBridge integration platform and NovaSentinel security suite. Customers on two or more cloud modules now represent 67% of cloud revenue, up from 58% a year ago.

Consumer Products ($720.0M, +3.0% YoY): Consumer Products demonstrated resilience against a backdrop of weaker discretionary spending. The NovaHome connected device line and NovaMobile subscription service collectively reached 14.2 million active users globally as of September 30, 2024.

Professional Services ($480.0M, +8.0% YoY): Professional Services saw steady growth as customers sought implementation and managed services for newly adopted cloud and enterprise platforms. Utilization rates remained elevated at 84%, and backlog grew 12% year-over-year to $1.1 billion.

4. Balance Sheet Summary

As of September 30, 2024. Figures in USD millions.

Balance Sheet Item	Sep 30, 2024	Dec 31, 2023
ASSETS		
Cash & Cash Equivalents	**$2,800.0**	$2,420.0
Short-Term Investments	$450.0	$380.0
Accounts Receivable, Net	$1,218.0	$1,145.0
Inventory	$185.0	$202.0
Other Current Assets	$347.0	$298.0
Total Current Assets	**$5,000.0**	**$4,445.0**

Property, Plant & Equipment, Net	$1,842.0	$1,765.0
Goodwill & Intangible Assets	$1,558.0	$1,380.0
Other Long-Term Assets	$400.0	$360.0
Total Assets	**$8,800.0**	**$7,950.0**
LIABILITIES & SHAREHOLDERS' EQUITY		
Accounts Payable	$612.0	$574.0
Accrued Liabilities	$480.0	$455.0
Deferred Revenue (Current)	$408.0	$371.0
Current Portion of LT Debt	$300.0	$300.0
Total Current Liabilities	**$1,800.0**	**$1,700.0**
Long-Term Debt	**$2,100.0**	**$2,250.0**
Deferred Tax & Other LT Liabilities	$233.0	$200.0
Total Liabilities	**$4,133.0**	**$4,150.0**
Total Shareholders' Equity	**$4,667.0**	**$3,800.0**
Total Liabilities & Equity	**$8,800.0**	**$7,950.0**
Debt-to-Equity Ratio	**0.45x**	0.59x

5. Cash Flow Statement

For the three months ended September 30, 2024. Figures in USD millions.

Cash Flow Item	Q3 2024	Q2 2024	Q3 2023
OPERATING ACTIVITIES			
Net Income	$520.0	$495.8	$454.9
Depreciation & Amortization	$98.0	$95.0	$88.0
Stock-Based Compensation	$72.0	$69.5	$64.0
Changes in Working Capital	($170.0)	($138.0)	($156.0)
Net Cash from Operations	**$520.0**	**$522.3**	**$450.9**
INVESTING ACTIVITIES			
Capital Expenditures (CapEx)	($140.0)	($132.0)	($101.7)
Acquisitions, Net of Cash	($215.0)	$0.0	$0.0
Purchases of Investments	($85.0)	($60.0)	($72.0)
Net Cash Used in Investing	**($440.0)**	**($192.0)**	**($173.7)**
FINANCING ACTIVITIES			
Share Repurchases	($125.0)	($115.0)	($110.0)
Dividends Paid	($58.1)	($57.9)	($48.4)
Debt Repayment	($75.0)	($75.0)	($75.0)
Net Cash Used in Financing	**($258.1)**	**($247.9)**	**($233.4)**
FREE CASH FLOW RECONCILIATION			
Net Cash from Operations	$520.0	$522.3	$450.9
Less: Capital Expenditures	($140.0)	($132.0)	($101.7)
Free Cash Flow	**$380.0**	**$390.3**	**$349.2**
FCF Margin	9.0%	9.6%	9.5%

6. Key Performance Indicators

KPI	Q3 2024	Q2 2024	Q3 2023
Total Customers	48,500	47,260	43,610
Enterprise Customers (>$100K ARR)	12,840	12,480	11,200
Annual Recurring Revenue (ARR)	**$11.24B**	**$10.82B**	**$9.43B**

Net Revenue Retention (NRR)	112%	111%	109%
Gross Revenue Retention (GRR)	94%	93%	92%
Average Revenue Per User (ARPU)	$86,600	$84,200	$79,450
Total Employees (FTE)	28,540	28,210	26,800
R&D Headcount	9,680	9,550	8,900
R&D Spend (% of Revenue)	15.0% ($630M)	15.0% ($608M)	15.0% ($548M)
Customer Acquisition Cost (CAC)	$18,400	$18,750	$19,200
LTV:CAC Ratio	6.8x	6.6x	6.2x
Revenue Per Employee	$588,000	$574,000	$543,000
Quarterly Dividend Per Share	$0.24	$0.24	$0.20

7. Risk Factors

The following risk factors could materially affect NovaTech's business, financial condition, and results of operations. This list is not exhaustive. Investors are encouraged to review the Company's Form 10-K and other SEC filings for a complete description of risk factors.

Risk Factor 1 — Macroeconomic Conditions & IT Spending Cycles

NovaTech's revenue is sensitive to changes in enterprise and consumer IT budgets. A global economic slowdown, tightening credit conditions, or prolonged inflationary environment could cause existing and prospective customers to delay, reduce, or cancel technology purchasing decisions. With approximately 79% of revenue derived from enterprise customers, extended budget cycles or procurement freezes—particularly in the financial services and manufacturing verticals—could materially suppress revenue growth and increase customer churn beyond current retention assumptions of 94%.

Risk Factor 2 — Intensifying Competition & Pricing Pressure

NovaTech operates in highly competitive markets and faces formidable competitors including large established technology vendors with significantly greater financial resources, as well as agile cloud-native entrants. Competitive dynamics in Cloud Services are particularly acute, with hyperscale providers (cloud infrastructure vendors with >$50B annual cloud revenue) increasingly offering overlapping capabilities at discounted price points. Failure to maintain product differentiation, accelerate AI-native feature delivery, or defend price realization in the Enterprise Solutions segment could compress gross margins and impair market share expansion.

Risk Factor 3 — Cybersecurity, Data Privacy & Regulatory Compliance

As a provider of enterprise software, cloud infrastructure, and consumer technology products, NovaTech processes significant volumes of sensitive customer data and is subject to complex and evolving data privacy regulations including GDPR, CCPA, and sector-specific frameworks. A material cybersecurity breach, unauthorized data access, or regulatory non-compliance event could result in substantial fines, reputational damage, customer attrition, and legal liability. The Company's NovaSentinel security platform mitigates but does not eliminate these risks. Emerging AI regulation in the EU, US, and APAC markets may impose additional compliance obligations on NovaTech's AI-assisted products.

Risk Factor 4 — Integration Risk from Acquisitions

NovaTech completed the acquisition of DataStream Analytics for $215 million in Q3 2024 and may pursue additional acquisitions as part of its inorganic growth strategy. Integration of acquired businesses, technologies, and personnel entails execution risk, including potential disruption to existing customer relationships, unforeseen liabilities, loss of key employees from target companies, and failure to realize projected synergies. Goodwill impairment charges could result if acquired businesses underperform relative to expectations recorded at the time of acquisition, adversely affecting reported earnings.

Risk Factor 5 — Talent Acquisition, Retention & AI Displacement Risk

NovaTech's ability to innovate and deliver high-quality products and services depends critically on attracting and retaining skilled software engineers, cloud architects, data scientists, and enterprise sales professionals. Competitive labor markets—particularly for AI/ML talent—have contributed to elevated compensation costs and higher-than-historical attrition in certain technical functions. Simultaneously, rapid advances in generative AI and automation tools introduce risk to the long-term staffing model underpinning the Professional Services segment, where human-delivered implementation and consulting services may face pricing pressure or volume compression if AI-augmented delivery reduces billable hours.

8. Forward Guidance — Q4 2024 & Full Year 2024

The following financial guidance is forward-looking and based on management's current expectations. Actual results may differ materially from these estimates due to the risk factors described herein and other factors disclosed in NovaTech's filings with the Securities and Exchange Commission.

Q4 2024 Guidance

Metric	Q4 2024 Guidance	Q4 2023 Actual
Total Revenue	**$4,350M – $4,450M**	$3,890M
Revenue Growth (YoY)	11.8% – 14.4%	—
GAAP EPS (Diluted)	**$2.20 – $2.28**	$1.92
Operating Margin	~18.7%	18.1%
Free Cash Flow	~$395M – $415M	$362M

Full Year 2024 Guidance (Updated)

Metric	FY 2024 Guidance	FY 2023 Actual
Total Revenue	**$16,350M – $16,450M**	$14,452M
Revenue Growth (YoY)	~13.1% – 13.8%	—
GAAP EPS (Diluted)	**$8.28 – $8.36**	$7.38
Operating Margin	~18.5%	17.8%

Q4 2024 Strategic Priorities

- Accelerate AI integration: Complete the phased rollout of NovaAI Copilot across Enterprise Solutions and Cloud Services, targeting 15% attach rate within 6 months of launch.
- DataStream integration: Achieve Day-90 integration milestones for DataStream Analytics, including joint go-to-market launch and technical platform unification.
- Cloud Services geographic expansion: Launch dedicated AWS-co-located NovaBridge nodes in Singapore, Frankfurt, and Sao Paulo to support APAC and LATAM enterprise demand.
- Margin discipline: Maintain operating margin at or above 18.5% while absorbing incremental M&A integration costs, targeting 20%+ operating margin by fiscal year 2026.
- Capital return: Execute $125M+ in share repurchases and maintain $0.24 quarterly dividend, with a dividend growth assessment scheduled for the February 2025 Board meeting.

FORWARD-LOOKING STATEMENTS DISCLAIMER

This report contains forward-looking statements within the meaning of Section 27A of the Securities Act of 1933, as amended, and Section 21E of the Securities Exchange Act of 1934, as amended. Forward-looking statements include statements regarding financial guidance, strategic priorities, market opportunities, and other statements that are not historical fact. These statements involve risks, uncertainties, and other factors that may cause actual results to differ materially. NovaTech Solutions Inc. undertakes no obligation to update forward-looking statements after the date of this report. For a full description of risk factors, please refer to the Company's most recent Annual Report on Form 10-K and Quarterly Reports on Form 10-Q filed with the U.S. Securities and Exchange Commission.

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